24STCV31069 24STCV31069

County: los-angeles

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Plaintiff
alleges that Defendants breached an agreement to purchase the subject property from
Plaintiff. Defendants were also tenants at the property and caused waste/damages
to the property they rented.

Defendants filed a Cross-Complaint alleging
that the property was uninhabitable, and they incurred costs to remodel the property.
However, Plaintiff/Cross-Defendant did not proceed with the sale of the property
and evicted Cross-Complainants/Defendants.

Defendants
Scott Markham and Estell Markham demur to the Third Amended Complaint.

TENTATIVE RULING

Defendants
Scott Markham and Estelle Markham's demurrer to the Third Amended Complaint is OVERRULED
as to the second cause of action and SUSTAINED without leave to amend as
to the third and fourth causes of action.

Defendants'
motion to strike is DENIED in its entirety.

Defendants are to answer the remaining allegations of the
Third Amended Complaint within 10 days.

ANALYSIS

Demurrer

Meet and Confer

The Declaration of Abiel Garcia reflects that Defendant's counsel satisfied the meet and confer requirement set forth in Code Civ. Proc., § 430.41.

Timeliness

Defendants argue that the 3AC was untimely filed. However, the Court agrees with Plaintiff's calculation of the deadline in which to file the 3AC. The Notice of Ruling re: the demurrer to the 2AC was served by e-mail on May 12, 2026. Plaintiff was given 30 days' leave to amend, which was Thursday, June 11, 2026. This period was extended by two court days per Code Civ. Proc. § 1010.6(a)(3)(B) for service by electronic means, extending the time to Saturday, June 13, 2026. With the last day falling on a weekend, the effective deadline was Monday June 15, 2026, which is the date on which the 3AC was filed and served.

Discussion

The Court has reviewed the moving, opposing and reply briefs filed by the parties, but only addresses the points which the Court deems to be material to the disposition of this motion.

Defendants Scott Markham and Estelle Markham demur to the Third Amended Complaint as follows:

1. Second Cause of Action (Financial Elder Abuse).

Defendants argue:

The 3AC does not meet any of the elements for financial elder abuse as the 3AC fails to identify a taking and has failed to demonstrate "wrongful use."

Financial abuse of an elder adult "occurs when a person or entity does any of the following: [¶] (1) Takes, secretes, appropriates, obtains, or retains real or personal property of an elder or dependent adult for a wrongful use or with intent to defraud, or both. [¶] (2) Assists in taking, secreting, appropriating, obtaining, or retaining real or personal property of an elder or dependent adult for a wrongful use or with intent to defraud, or both.” (Welf. & Inst. Code, § 15610.30, subd. (a).)

The Elder Abuse and Dependent Adult Civil Protection Act (Welf. & Inst. Code, § 15600 et seq.) was enacted to provide for the “private, civil enforcement of laws against elder abuse and neglect” (Citation omitted). The statutory provisions are not limited to mentally incompetent or physically impaired elders, or persons of limited financial means. (Welf. & Inst. Code, §§ 15600, 15610.27, 15610.30.) Under the statute, it is not necessary that the taker maintain an intent to defraud if it can be shown that the person took the property for a wrongful use and “knew or should have known that [his or her] conduct is likely to be harmful to the elder … .” (Id., § 15610.30, subd. (b).)

(Bonfigli v. Strachan (2011) 192 Cal.App.4th 1302, 1315.)

In connection with the Financial Elder Abuse cause of action, the 3AC alleges at ¶¶ 18 - 23:

18. Defendants knowingly sought and obtained valuable property rights from Plaintiff, including the right of exclusive possession, the right to occupy the Property at below market rent, the right to maintain exclusive option rights concerning the Property, and the right to prevent Plaintiff from marketing or selling the Property to third parties during the option period and extensions thereof.

19. In reliance upon Defendants’ representations concerning their desire to pursue ownership of the Property, Plaintiff agreed to remove the Property from the market, forego alternative sales opportunities, extend Defendants’ option rights, and continue Defendants’ possession of the Property.

20. Defendants thereby obtained and retained valuable property rights belonging to Plaintiff, including Plaintiff’s rights of possession, marketability, use, enjoyment, and economic exploitation

of the Property.

21. Plaintiff
is informed and believes and thereon alleges that Defendants knew or reasonably should have known that obtaining and retaining such rights from an elderly property owner while depriving Plaintiff of the ability to market or sell the Property was likely to cause harm.

22. During the
period Defendants retained such rights, Defendants substantially damaged the Property by removing appliances, toilets, sinks, fixtures, flooring, landscaping, and mature trees and by cutting holes into walls and improvements.

23. As a direct
and proximate result of Defendants' conduct, Plaintiff was deprived of valuable property rights and suffered substantial economic damages, including but not limited to loss of marketability, diminution in value, restoration costs, loss of use, and related damages according to proof.

(3AC, ¶¶ 18 – 23 [bold emphasis added].)

Welfare
and Institutions Code § 15610.30 provides in pertinent part as follows:

(a) "Financial
abuse" of an elder or dependent adult occurs when a person or entity does any of the following:

(1) Takes,
secretes, appropriates, obtains, or retains real or personal property of an elder or dependent adult for a wrongful use or with intent to defraud, or both.

(2) Assists
in taking, secreting, appropriating, obtaining, or retaining real or personal property of an elder or dependent adult for a wrongful use or with intent to defraud, or both.

(3) Takes, secretes,
appropriates, obtains, or retains, or assists in taking, secreting, appropriating, obtaining, or retaining, real or personal property of an elder or dependent adult

by undue influence, as defined in Section 15610.70.

(b) A person or entity shall be deemed to have taken, secreted, appropriated, obtained, or retained property for a wrongful use if, among other things, the person or entity takes, secretes, appropriates, obtains, or retains the property and the person or entity knew or should have known that this conduct is likely to be harmful to the elder or dependent adult.

(c) For purposes of this section, a person or entity takes, secretes, appropriates, obtains, or retains real or personal property when an elder or dependent adult is deprived of any property right, including by means of an agreement, donative transfer, or testamentary bequest, regardless of whether the property is held directly or by a representative of an elder or dependent adult.

(Wel. & Inst. Code § 15610.30(a) – (c)[bold emphasis added].)

As before, the 3AC does not allege that Defendants failed to pay rent as required for their tenancy, nor that Defendants failed to pay sums as agreed to have Plaintiff keep his property off the market. Nonetheless, the allegation that Defendants "substantially damaged the Property by removing appliances, toilets, sinks, fixtures, flooring, landscaping, and mature trees and by cutting holes into walls and improvements," (3AC, ¶ 22) qualifies as "deprivation of any property right" sufficient to support the financial Elder Abuse cause of action.

A demurrer does not lie to only part of a cause of action or a particular type of damage or remedy. (See Kong v. City of Hawaiian Gardens Redevelopment Agency (2003) 108 Cal.App.4th 1028, 1046; PH II, Inc. v. Superior Court (Ibershof) (1995) 33 Cal.App.4th 1680, 1682.) The proper procedure is to bring a motion to strike the substantively defective allegation. (Id. at 1682-83.)

The demurrer to the second cause of action is OVERRULED.

2. Third

Cause of Action (Negligence).

Defendants argue:

The 2AC does not allege a duty independent of contract, and seeks recovery for purely economic losses barred by the economic loss rule.

The 3AC alleges:

32. Independent of any contractual obligations, Defendants owed Plaintiff duties imposed by California common law, including duties not to physically damage another person's real property, not to commit waste, and to exercise reasonable care while in possession and control of the Property.

33. Defendants breached those duties by, among other acts: (a) removing appliances, toilets, sinks, fixtures, flooring, landscaping, and trees; (b) cutting holes into walls and improvements; (c) performing destructive demolition activities; (d) failing to protect the Property from damage while in their possession; and (e) surrendering the Property in a damaged and unsafe condition.

34. Defendants' conduct constituted affirmative acts causing physical injury to real property and was independent of any mere failure to perform contractual obligations.

(3AC, ¶¶ 32 – 34.)

The economic loss rule bars a claim for tort damages arising out of a contractual relationship unless the injury results from a violation of duty independent of contractual duties and rights and there was injury to persons or property not reasonably contemplated by parties when the contract was formed. (Rattagan v. Uber Technologies, Inc. (2024) 17 Cal.5th 1, 19-21.)

As alleged in the first cause of action, the Lease imposes upon the tenant a contractual obligation not to damage the premises, i.e., damage to the premises by the tenant was contemplated by and provided for in the Lease. (3AC, Exh. B, ¶ 11.A.)

Plaintiff has not alleged a source of duty independent of this contractual duty to avoid the economic loss rule.

The demurrer to the third cause of action is SUSTAINED without leave to amend.

3. Fourth Cause of Action (Waste).

Defendants argue that the fourth cause of action is improper because Plaintiff added it for the first time in the 3AC without seeking or obtaining leave of court. Plaintiff has also conceded that the claim was improperly added and has requested that the Court strike it.

In the Opposition, Plaintiff acknowledges that the Fourth Cause of Action for waste was added without first obtaining leave. That discrete count can be stricken or dismissed. (Opposition, Page 6:2-5.)

The demurrer to the fourth cause of action is SUSTAINED without leave to amend as to the fourth cause of action.

Motion To Strike

Meet and Confer

The Declaration of Abiel Garcia reflects that Defendant's counsel satisfied the meet and confer requirement set forth in Code Civ. Proc., § 435.5.

Discussion

Defendants Scott Markham and Estell Markham move to strike the following portions of the Third Amended Complaint as follows:

1. Paragraph

30, in its entirety: “Accordingly, Plaintiff is entitled to recover punitive and exemplary damages pursuant to Civil Code section 3294.”

DENIED.

Here, the
nature of the alleged extensive and intentional property damage pled at ¶¶ 9 and 22 of the 3AC suggests actions done with malice or oppression as those terms are defined in Civil Code § 3294(c) to include “conduct which is intended by the defendant to cause injury to the plaintiff or despicable conduct which is carried on by the defendant with a willful and conscious disregard of the rights or safety of others,” or “despicable conduct that subjects a person to cruel and unjust hardship in conscious disregard of that person’s rights.” (Civil Code § 3294(c)(1) & (2).)

2. Paragraph
b of the Prayer for Relief, in its entirety: “For an award of monetary damages for mental pain and anguish and emotional distress in the amount of $2,000,000.00;”

DENIED.

The real party
in interest is the individual trustee, here Stephen P. Mayer as trustee of the Mayer Family Trust, who is capable of suffering emotional distress.

Most importantly for our purposes, “an ordinary
express trust is not an entity separate from its trustees … .” (Citation omitted.) “In contrast to a corporation which is a ‘“… distinct legal entity separate from its stockholder and from its officers” [citation]’ (Citation omitted) and deemed a person within many legal constructs (Code Civ. Proc., § 17), a ‘… trust is not a person but rather “a fiduciary relationship with respect to property.” [Citations.] Indeed, “ ‘ “an ordinary express trust is not an entity separate from its trustees” ‘ “ [Citation.]’ (Citations omitted.)

It is for this reason that a trust itself
can neither sue nor be sued in its own name. Instead, the real party in interest in litigation involving a trust is always the trustee. (Citation omitted.)

(Presta v. Tepper (2009) 179 Cal. App. 4th 909, 915 [bold emphasis added].)

Moreover,

emotional distress damages are recoverable for the alleged damage to personal property (or real property).

In sum then, we conclude that notwithstanding further developments in the law of negligence, damages for emotional distress growing out of a defendant's conversion of personal property are recoverable.

(Gonzales v. Pers. Storage (1997) 56 Cal.App.4th 464, 476-477.)

3. Paragraph c of the Prayer for Relief, in its entirety: "For an award of exemplary and punitive damages in the amount of $10,000,000 as to the Second Cause of Action only;"

DENIED.

See above at 1.

4. Paragraph e of the Prayer for Relief, in its entirety: "For attorney fees and costs pursuant to contract in an amount to be determined."

DENIED.

The Elder Abuse cause of action survives demurrer. As such, Plaintiff may be entitled to recover attorneys fees pursuant to Wel. & Inst. Code § 15657(a):

If it is proven by clear and convincing evidence, or by a preponderance of the evidence pursuant to Section 15657.02, that a defendant is liable for physical abuse as defined in Section 15610.63, neglect as defined in Section 15610.57, or abandonment as defined in Section 15610.05, and that the defendant has been guilty of recklessness, oppression, fraud, or malice in the commission of this abuse, the following shall apply, in addition to all other remedies otherwise provided by law:

(a) The court shall award to the plaintiff reasonable attorney's fees and costs. The term "costs" includes, but is not limited to, reasonable fees for the services of a conservator, if any, devoted to the litigation of a claim brought under this article.

(Wel. & Inst Code § 15657(a).)

Defendants
are to answer the remaining allegations of the Third Amended Complaint within 10
days.